1.5

Business Objectives & Stakeholders

Cambridge IGCSE Business

- Business Objectives
- Survival & Profit
- Growth & Market Share
- Internal Stakeholders
- External Stakeholders
- Stakeholder Conflicts

Business Objectives and Stakeholders

Businesses have multiple objectives that change over time. Different stakeholder groups have different — and often conflicting — interests in how the business is run.

- Explain why businesses have objectives and give examples
- Identify internal and external stakeholders
- Explain how stakeholder objectives may conflict
- Analyse business decisions from multiple stakeholder perspectives

Business Objectives

What businesses are trying to achieve — and why

Business Objectives – What They Are and Why They Matter

A business objective is a specific, measurable goal that a business is trying to achieve. Objectives guide decision-making and allow managers to measure progress and success.

Business Objectives — What Businesses Are Trying to Achieve

Survival
Remain in business, es pecially in early year s or during recession
New start-up trying to break even in year 1

Profit
Earn more revenue than costs — reward shareh olders, fund growth
Tesco: profit of £1bn+ used to fund expansio n

Growth
Increase in size — sal es, employees, market share, new markets
Amazon expanding from books to global everyt hing-store

Market Share
Increase the percentag e of total market sale s the business holds
Sainsbury's targeting 15% of UK grocery mark et

Social/Ethical
Benefit society, envir onment or local commun ity beyond just profit
Patagonia: donates 1% of sales to environmen tal causes

Customer Satisfaction
Maximise customer loya lty, NPS scores and re peat purchase
John Lewis: 'Never kno wingly undersold' prom ise

Objectives change over time: a new business prioritises survival; an established one focuses on growth and profit

Objectives change as the business grows — what matters at year 1 is very different from year 10

START-UP

SURVIVAL

Pay the bills, build a customer base, reach break-even

- Airbnb (2008): founders rented air mattresses to cover rent — pure survival
- Innocent Drinks (1999): sold smoothies at a festival to test if the idea could work
- Any new café, barber or sole trader in their first year of trading

EARLY GROWTH

PROFIT

Cover costs, earn a return, reward owners and investors

- Dyson (1993): first vacuum launched — focus shifted to earning back the £2m development cost
- Greggs in the 1970s: expanding beyond Newcastle, driven by generating a profit to fund new bakeries
- Brewdog early years: bottling and selling craft beer profitably before opening bars

ESTABLISHED

GROWTH + MARKET SHARE

Beat competitors, expand into new markets, dominate

- Tesco: growing from UK grocery to petrol, clothing, banking and international markets
- Amazon: expanding from books to electronics, streaming, cloud computing (AWS) and logistics
- McDonald's: franchise model expanding to 40,000+ locations in 100+ countries

MATURE

SOCIAL / ETHICAL

CSR, sustainability, community impact beyond profit

- Patagonia: donates 1% of all sales to environmental causes — 'Earth is our only shareholder'
- The Co-operative Group: member-owned, community focus built into its business model since 1844
- Ben & Jerry's: B-Corp certified, actively campaigns on climate and social justice issues

Exam tip: SMART objectives: Specific, Measurable, Achievable, Realistic, Time-bound. 'Increase market share by 5% in 12 months' is SMART. 'Grow the business' is not.

Stakeholders

Who has an interest · What they want · Where they conflict

Stakeholders – Internal and External Groups

A stakeholder is any person or group that has an interest in — or is affected by — the activities of a business. Different stakeholders have very different objectives.

Stakeholder	Main Objective	What they want the business to do
Owners / Shareholders	Profit and return on investment	Maximise dividends and share price
Managers	High salary and career progression	Autonomy, resources, status
Employees	Job security and fair pay	Good wages, safe conditions, fair treatment
Customers	Good value and quality	Low prices, reliable products, excellent service
Government	Tax revenue and employment	Comply with laws, pay taxes, create jobs

Exam tip: Internal stakeholders work inside the business (owners, managers, employees). External stakeholders are outside it(customers, suppliers, banks, government, local community).

Stakeholder Conflicts – When Objectives Clash

Because different stakeholders want different things, their objectives frequently conflict. Managers must try to balance these competing interests in a way that keeps the business viable.

How businesses manage stakeholder conflicts:

- Prioritise the most powerful stakeholders — shareholders in a PLC vs community in a social enterprise
- Compromise — accept slightly lower profit in exchange for better employee relations and loyalty
- CSR programmes — invest in community and environment to manage external stakeholder expectations
- Transparent communication — explain decisions to stakeholders to reduce conflict and build trust

📌 Amazon: shareholders want maximum profit → workers want better pay and conditions → government wants Amazon to pay more tax → all three objectives directly conflict

Exam tip: When asked about stakeholder conflict, name BOTH groups, explain what EACH wants, then explain WHY these objectives cannot both be fully satisfied at the same time.

Key Revision Checklist – 1.5 Business Objectives and Stakeholders

Objectives	Specific goals guiding business decisions. Change over time: survival → profit → growth → market share → social/ethical
Survival	Most important for new businesses. Aim: cover costs and break even. Priority in recessions too
Profit	Revenue – Total Costs. Reward for risk-taking. Used for dividends, reinvestment, debt repayment
Market share	A business's sales as % of total market sales. Higher share = more pricing power and supplier leverage
Internal stakeholders	Owners/shareholders (profit), managers (salary, career), employees (pay, security, fair treatment)
External stakeholders	Customers (quality, price), suppliers (payment, orders), banks (repayment), government (tax, jobs, compliance)
Stakeholder conflict	Shareholders want profit → workers want higher pay → customers want lower prices → all three conflict
Managing conflicts	Prioritise powerful stakeholders · compromise · CSR programmes · transparent communication